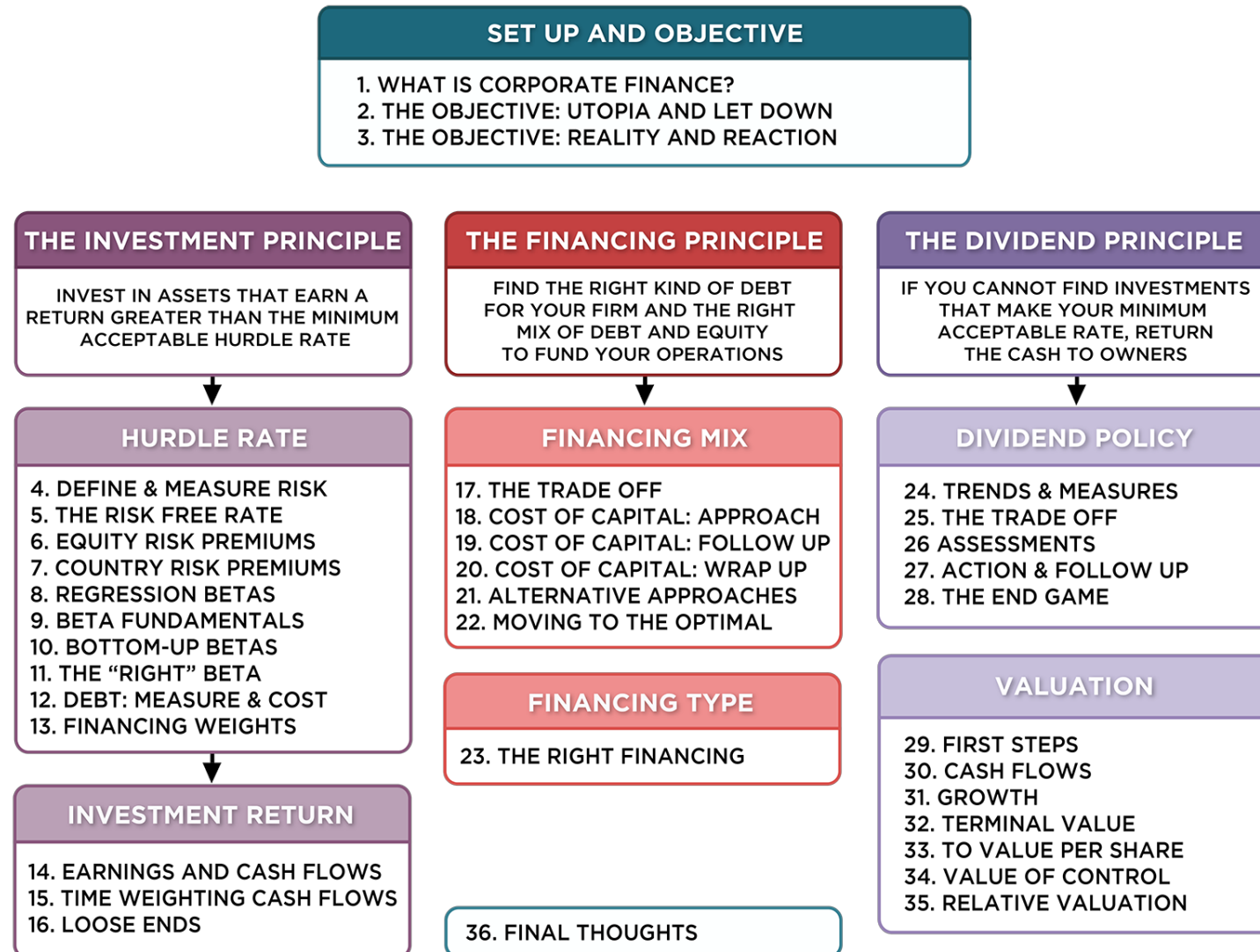


SESSION 22: MOVING TO THE OPTIMAL

The pathway to the optimal ix can be rocky.

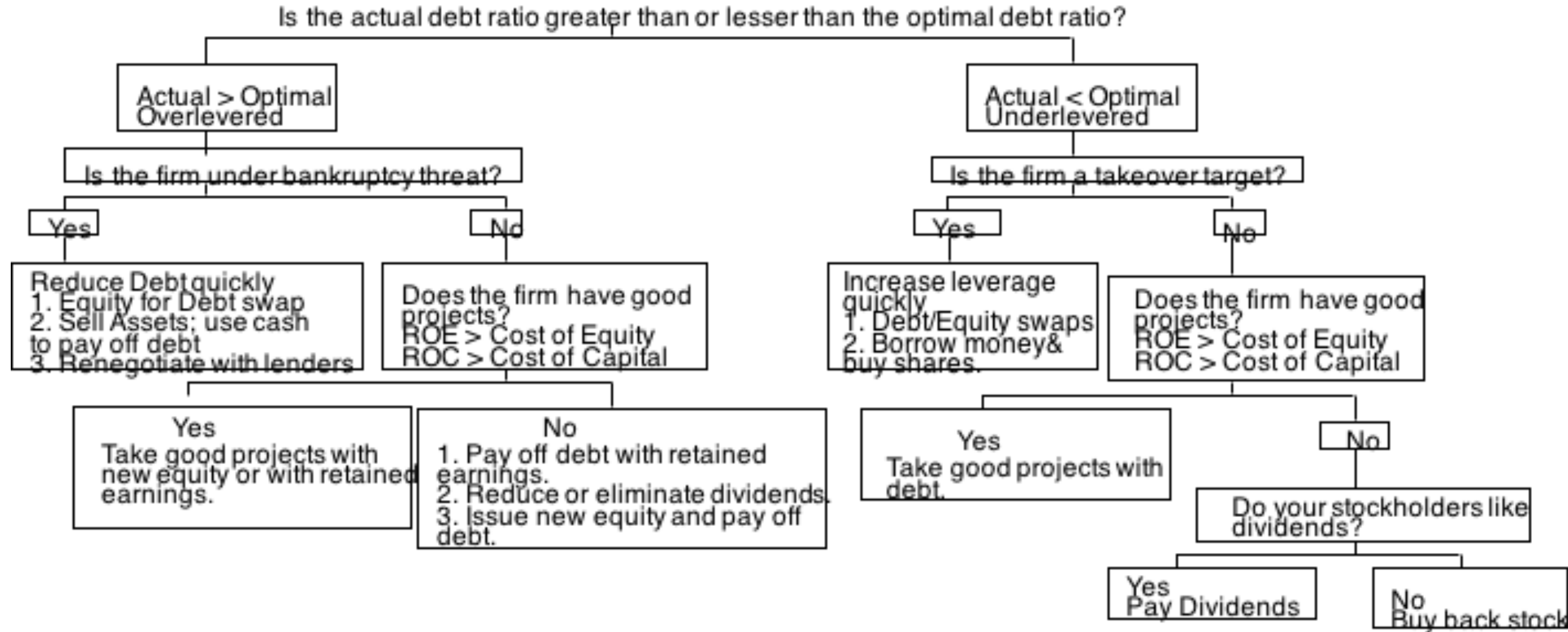
SESSION 22: MOVING TO THE OPTIMAL



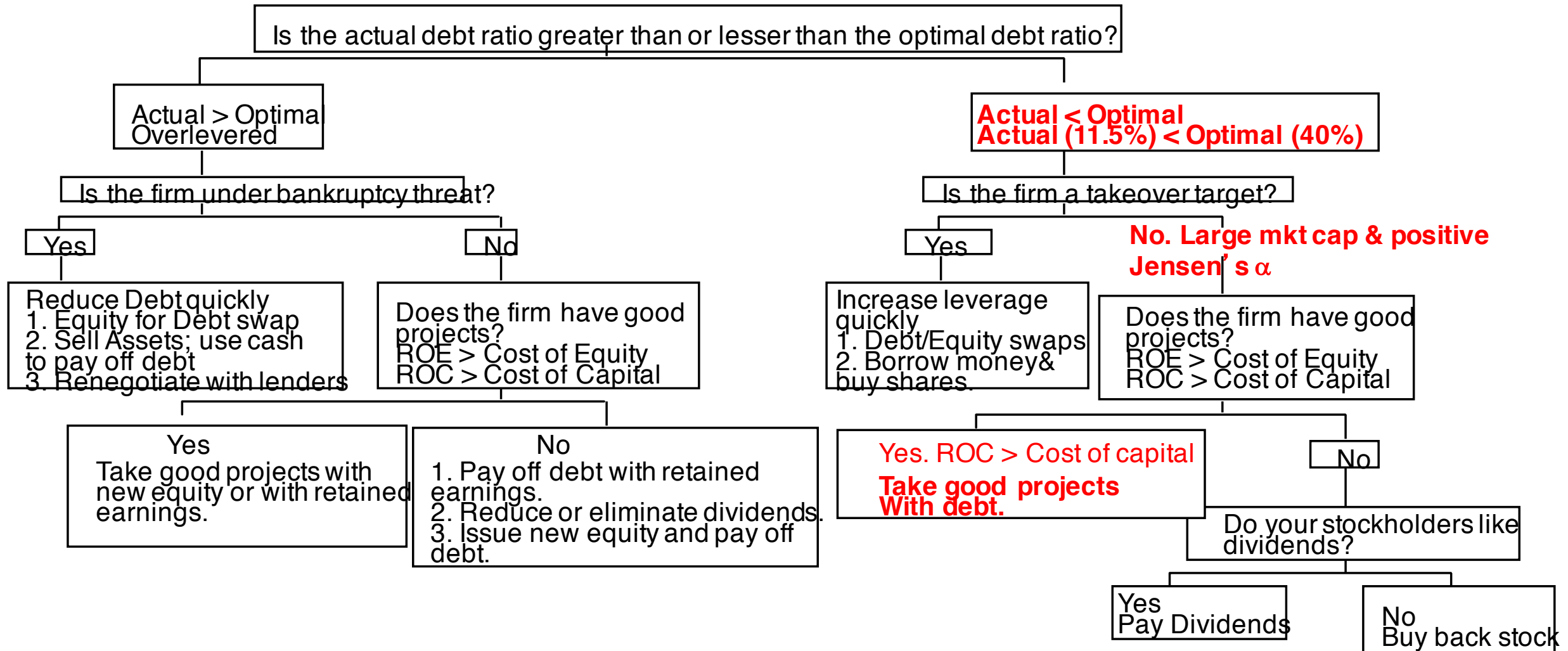
NOW THAT WE HAVE AN OPTIMAL . . . AND AN ACTUAL . . . WHAT NEXT?

- At the end of the analysis of financing mix (using whatever tool(s) you choose to use), you can come to one of three conclusions:
 - The firm has the right financing mix
 - The firm has too little debt (it is under levered)
 - The firm has too much debt (it is over levered)
- The next step in the process is
 - Deciding how quickly or gradually the firm should move to its optimal
 - Assuming that it does, how should it move to its optimal, that is , a recapitalization or investments.

A FRAMEWORK FOR GETTING TO THE OPTIMAL



DISNEY: APPLYING THE FRAMEWORK



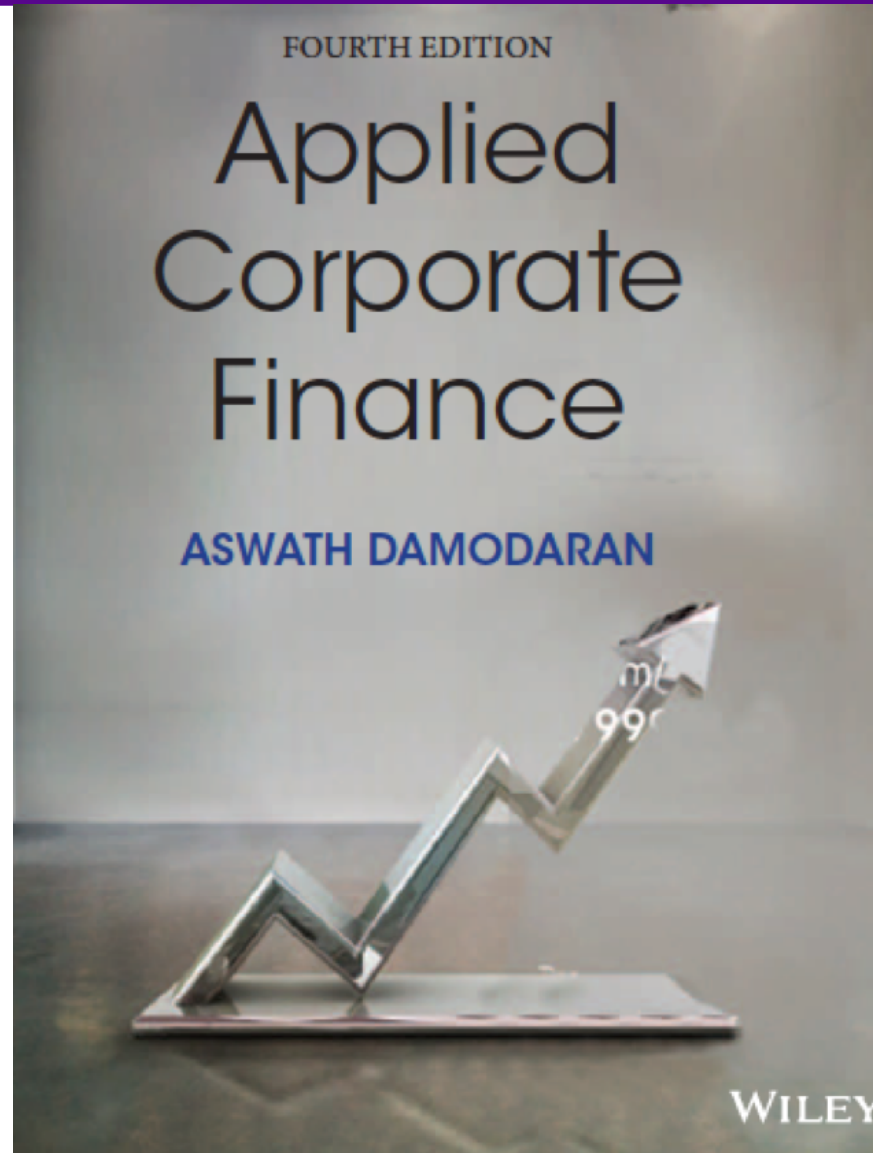


APPLICATION TEST: GETTING TO THE OPTIMAL

- Based upon your analysis of both the firm's capital structure and investment record, what path would you map out for the firm?
 - a. Immediate change in leverage
 - b. Gradual change in leverage
 - c. No change in leverage
- Would you recommend that the firm change its financing mix by
 - a. Paying off debt/buying back equity
 - b. Take projects with equity/debt

Task

If your firm's actual debt ratio is different from its optimal, evaluate how quickly it has to act and what the best course of action is.



Optional:
Read
Chapter 9